



Intellect reported a subdued Q4FY22 performance with revenue growth and margin performance below our expectations

- \$ Revenue was reported at \$67.7 Million, -0.1% QoQ / +25.1% YoY & -3.9% below our estimates.
- INR Revenue was reported at INR 5,094 Million, +0.2% QoQ / +29.1% YoY & -2.2% below our estimates.
- EBITDA was reported at INR 1,206 Million, -9.3% QoQ / +22.6% YoY & (9.4)% below our estimates.
- EBITDA Margin stood at 23.7% vs 26.2% & 24.9% in Q3FY22 / Q4FY21 respectively and 190 basis points below our estimate.
- PAT was reported at INR 954 Million, -5.4% QoQ / +18.4% YoY & -3.4% below our estimates.
- EPS stood at INR 7.1 vs INR 7.7 & INR 6.1 in Q3FY22 / Q4FY21 respectively.

Segmental Performance & Other Highlights

- License Revenue (15.9% of revenue) stood at INR 808 Mn, -28% qoq / -4.8% yoy
- AMC (17% of revenue) stood at INR 866 Mn, +5% qoq / +15.1% yoy
- SI (43.7% of revenue) stood at INR 2,227 Mn, -1% qoq / 31% yoy
- SaaS (23% of revenue) stood at INR 1,193 Mn, +34% qoq / +85% yoy
- Current pipeline is at \$725 Mn, +7% qoq / +27% yoy
- The company is pursuing 13 large deals (> INR 500 Mn) versus 12 in the last quarter and 8 in the same quarter last year

Financial Summary

Y/E Mar (Rs mn)	FY 19	FY 20	FY 21E	FY 22E	FY 23E	FY 24E
Net sales	14,528	13,507	14,991	18,782	22,857	27,259
EBIT	1,010	57	2,807	3,746	5,358	7,186
Adjusted net profit	1,346	159	2,627	3,490	4,689	6,246
EPS (Rs)	10.2	1.2	19.9	26.5	35.6	47.4
growth (%)	174%	-88%	1552%	33%	34%	33%
P/E (x)	54.5	565.1	34.2	25.8	19.2	14.4
P/B (x)	8.8	8.6	6.5	5.0	3.9	3.1
EV/EBITDA (x)	63.1	122.0	24.7	18.6	13.4	9.8
D/E	0.1	0.2	0.0	0.0	0.0	0.0
ROCE (%)	14.8	1.5	21.5	21.8	22.9	24.1
RoE (%)	18.1	1.5	21.5	21.8	22.9	24.1

Source: Company

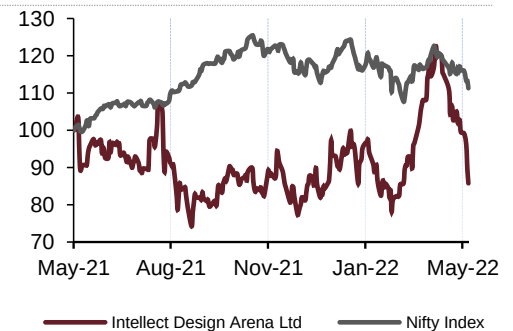
Rating	TP (Rs)	Up/Dn (%)
BUY	948	39

Market data

Current price	Rs	682
Market Cap (Rs.Bn)	(Rs Bn)	92
Market Cap (US\$ Mn)	(US\$ Mn)	1,203
Face Value	Rs	5
52 Weeks High/Low	Rs	987 / 577
Average Daily Volume	('000)	1,197
BSE Code		538835
Bloomberg		INDA.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	30.86	30.91
Public	69.13	69.08
Othres		0.01
Total	100	100

Source: Bloomberg

Concall Highlights

- Q4FY22 subdued topline performance was due to 2 reasons: 1. Lost 2 deals in the Russia and Ukraine region due to on-going crisis in the region (worth \$4 Mn total which management does not expect to recover) and 2. Deal with RBI (worth INR 400 Cr over 7 years) is a Managed Service contract and therefore License revenues are not recognized completely at the beginning
- Tie-up with Microsoft Azure should give good advantage to Intellect in the US and Europe region
- Employee costs increased by INR 13 Cr QoQ due to higher Travel costs + new hires and hike to existing employees
- Revenue Outlook: Target to grow at 20% in FY23e (Microsoft Azure tie-up should provide tailwinds to this target). Expect to achieve \$75 Mn quarterly revenue run-rate in the next 2 quarters. Current quarter revenue was \$ 67.7 Mn which implies a CAGR of 5% over the next 2 quarters
- Margin Outlook: LTM margins should be better indicator of future margins
- Cost Outlook: Expect costs to go up due to increase in S&M costs and Travel Costs. Also expect Capitalization costs to increase by 15-20% for Upgrades and New product developments as company plans to expand to newer geographies
- Currently doing strong run-rate in 18 countries and plan to expand to 3 more countries in Asia, Middle East and Europe
- RBI deal win has led to higher interest in Central Banking propositions
- Rising interest rate scenario is a tailwind for Intellect which also evident from an All Time High number of RFPs the company facing
- Tax rate should be at 26% next year but Effective Tax Rate to be at 17-18% due to MAT credit available
- Execution capabilities have improved due to Design Thinking (inspired by Toyota) and Intellect has one of the fastest execution globally
- Card Platform also has several opportunities. Intellect has implemented its platforms for DBS and Bajaj Finserv
- INR 558 Cr of cash on books
- Declared dividend of INR 2.5 for the first time ever

Quarterly Deviation Sheet

Particulars (INR Mn)	INTELLECT DESIGN ARENA Quarterly Deviation Analysis				
	Q4FY22	Q3FY22	Q4FY21	QoQ%	YoY%
Revenue (US\$ Mn)	67.7	67.8	54.1	0%	25%
Revenue (INR Mn)	5,094.0	5,082.9	3,946.0	0%	29%
Software Development Expenses	2,182.0	2,103.0	1,717.0	4%	27%
Gross Profit	2,912.0	2,979.9	2,229.0	-2%	31%
SGA Expenses	1,353.0	1,340.0	1,006.0	1%	34%
R&D Expenses	352.0	310.0	239.0	14%	47%
EBITDA	1,207.0	1,329.9	984.0	-9%	23%
EBITDA %	23.7%	26.2%	24.9%		
Depreciation & Amortization	265	247	196	7%	35%
EBIT	942	1,083	788	-13%	20%
EBIT (%)	18.5%	21.3%	20.0%	-281	-148
Finance Charges	10	10	0		
Other income	263	72	96	265%	174%
Profit Before Tax	1,195	1,145	884	4%	35%
Taxes Paid	241	138	79	75%	205%
Profit After Tax	954	1,007	805	-5%	19%
Minority Interest	1	-2	-1		
Adjusted PAT	953	1,009	806	-6%	18%
EPS	7.2	7.7	6.1	-6%	18%

Source: Company, D&B Research

Valuation & Outlook

Intellect Design is currently trading at 19.2x / 14.4x FY23e/FY24e EPS respectively.

Q4FY22 performance was impacted due to extraordinary circumstances which were beyond the management's control. Going ahead, management has given a strong guidance that it will achieve a \$75 Mn quarterly run-rate in the next 1 to quarters – which indicates a minimum sequential growth rate of 5% CAGR. Additionally, management has also guided for minimum 20% growth in FY23e and EBITDA margins similar to that of FY22 (25.1%).

Visibility also seems strong with a consistently healthy pipeline. Notably, the number of destiny deal wins as well as size of pipeline has been steadily growing over last 8-10 quarters.

Taking the above factors into consideration, we recommend a BUY on the company as we apply a target multiple of 20x FY24e EPS estimates to arrive at a target of INR 948.

Financials

Profit & Loss A/c						
YE March (Rs. mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Total Revenue	14,528	13,507	14,991	18,782	22,857	27,259
<i>Growth %</i>	34%	-7%	11%	25%	22%	19%
Less:						
Software development expenses (SDE)	7,372	6,987	6,646	7,976	9,174	10,275
SG&A	4,727	4,555	3,837	4,897	5,857	7,102
R&D	1,004	1,219	933	1,187	1,480	1,708
Total Operating Expenditure	13,102	12,760	11,416	14,060	16,511	19,085
EBIDTA	1,426	746	3,575	4,722	6,346	8,174
<i>Growth %</i>	81%	-48%	379%	32%	34%	29%
Less: Depreciation & Amortization	416	690	768	976	988	988
EBIT	1,010	57	2,807	3,746	5,358	7,186
<i>Growth %</i>	94%	-94%	4862%	33%	43%	34%
Interest Paid	114	174	77	44	1	0
Non-operating Income	509	405	151	417	366	436
Extraordinary Income	304	0	0	0	0	0
Profit Before tax	1,709	287	2,881	4,119	5,723	7,622
Tax	89	51	254	627	1,030	1,372
Net Profit before Minority	1,619	237	2,627	3,492	4,693	6,250
Minority Interest	-31	78	0	2	4	4
Net Profit	1,650	159	2,627	3,490	4,689	6,246
Adjusted Profit	1,346	159	2,627	3,490	4,689	6,246
<i>Growth %</i>	188%	-88%	1552%	33%	34%	33%
Reported Diluted EPS Rs	12.5	1.2	19.9	26.5	35.6	47.4
Adjusted Diluted EPS Rs	10.2	1.2	19.9	26.5	35.6	47.4

Balance Sheet (Consolidated)						
YE March(Rs. mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
Liabilities						
Equity Capital	659	662	665	673	673	673
Reserves & Surplus	9,538	9,788	13,264	17,415	22,103	28,349
Equity	10,197	10,450	13,928	18,087	22,776	29,022
Net Worth	10,197	10,450	13,928	18,087	22,776	29,022
Total Loans	1,007	2,206	166	8	8	8
Capital Employed	10,855	12,329	13,428	17,636	22,328	28,578
Assets						
Gross Block	3,444	3,234	3,979	4,898	5,598	6,298
Less: Depreciation	1,589	1,665	2,433	3,409	4,398	5,386
Net Block	1,854	1,569	1,546	1,489	1,200	912
Intangible Assets	43	43	43	43	43	43
Investments	524	603	499	544	598	688
Goodwill	364	304	294	305	305	305
LT Loans & Advances	1,366	1,337	1,226	985	2,743	3,271
Current Assets						
Sundry Debtors	2,027	2,847	1,868	1,893	2,818	3,361
Cash and Bank Balance	874	1,019	1,697	1,979	4,864	9,376
Total Current Assets	8,310	9,539	10,621	16,063	20,236	27,529
Less:Current Liabilities & Provisions						
Sundry Creditors	1,664	2,080	1,685	2,568	3,031	3,503
Total Current Liabilities & Provisions	5,017	5,450	6,017	7,498	8,745	10,318
Miscellaneous Assets						
Capital Applied	7,445	7,944	8,212	11,931	16,380	22,430

Key Ratios						
EBIDTA (%)	9.8%	5.5%	23.8%	25.1%	27.8%	30.0%
NPM (%)	11.4%	1.2%	17.5%	18.6%	20.5%	22.9%
RoE (%)	18.1%	1.5%	21.5%	21.8%	22.9%	24.1%
RoCE (%)	14.8%	1.5%	21.5%	21.8%	22.9%	24.1%
Tax Rate %	5.2%	17.7%	8.8%	15.2%	18.0%	18.0%
Book Value Per share (Rs.)	77.4	79.3	105.7	137.3	172.8	220.2
Valuation Ratios						
P/E (x)	54.5x	565.1x	34.2x	25.8x	19.2x	14.4x
EV/EBITDA	63.1x	122.0x	24.7x	18.6x	13.4x	9.8x
P/BV (x)	8.8x	8.6x	6.5x	5.0x	3.9x	3.1x
Market Cap. / Sales (x)	6.2x	6.7x	6.0x	4.8x	3.9x	3.3x

Cash Flows (Consolidated)

YE March (Rs. mn)	FY19	FY20	FY21	FY22E	FY23E	FY23E
PAT	1,649.9	159.0	2,626.7	3,489.6	4,688.5	6,245.8
Less: Non Operating Income	(509.0)	(404.6)	(151.0)	(417.0)	(365.7)	(436.1)
Add: Depreciation	415.6	689.6	768.0	976.0	988.3	988.3
Add: Interest Paid	114.4	173.7	77.0	44.0	0.8	0.0
Operating Profit before WC	1,271.9	(344.4)	3,320.7	4,092.6	5,311.9	6,797.9
(Inc)/Dec in Current Assets	(2,416.1)	27.8	(404.2)	(5,160.3)	(1,287.3)	(2,782.2)
Inc/(Dec) in Current Liabilities	640.7	752.2	567.2	1,480.5	1,247.1	1,573.0
Net Cash From Operations	(503.4)	435.7	3,483.7	412.8	5,271.8	5,588.7
Cash Flow from Investing						
(Inc)/Dec in Fixed Assets	121.4	(404.0)	(745.0)	(919.0)	(700.0)	(700.0)
Add: Non Operating Income	530.1	481.3	191.6	493.7	442.4	512.8
Cash From Investing	720.3	88.1	(329.5)	(239.4)	(2,069.4)	(805.1)
Cash Flow from Financing						
Less: Interest Paid	(114.4)	(173.7)	(77.0)	(44.0)	(0.8)	0.0
Net Cash from Financing	(151.1)	1,114.1	(1,606.7)	664.9	(0.8)	0.0
Net Inc/Dec in cash	65.7	1,637.9	1,547.5	838.3	3,201.6	4,783.6
Opening Balance	971.8	873.9	1,019.0	1,696.8	1,978.8	4,864.4
Closing Cash	752.9	997.2	1,447.4	2,535.1	5,180.4	9,648.0

Free Cash Flow Statement

YE March (Rs. mn)	FY19	FY20	FY21	FY22	FY23E	FY24E
EBITDA	1,426	746	3,575	4,722	6,346	8,174
FC Investment	-2,177	-899	-23	-57	-288	-288
WC Changes	-1,195	-1,855	-1,388	-3,680	-40	-1,209
Depreciation Tax Shield	266	265	307	149	178	178
Tax Expenses	364	190	912	627	1,030	1,372
FCF	2,310	-135	1,605	621	5,742	6,059

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